ISA 520 Flux & Expectation Documentation

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2024 vs. FY 2025
Source Document	Flux Analysis — FY2024 vs FY2025
Source File	meridian_flux_analysis.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	WP-FE-2026-1023-203
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

ISA 520 Analytical Procedures — Expectation Documentation

Meridian Capital Group, LLC

23rd October 2026 • WP-FE-2026-1023-203

Practitioner Notice

The expectation narratives in this workpaper are authored entirely by the practitioner. Paciolus does not generate, suggest, or pre-populate expectation text. The observed variances are computed from uploaded trial balance data. ISA 520 requires the auditor to develop an expectation of recorded amounts before comparing to actual results. This memo documents that process. Items marked ■ PENDING require practitioner input before this workpaper may be considered complete for engagement file purposes.

I. Scope

Source ... Flux Analysis — FY2024 vs FY2025 (meridian_flux_analysis.csv)

Period Tested ..... FY 2024 vs. FY 2025

Total Accounts Compared 247

High Risk Items 2

Medium Risk Items 6

Materiality Threshold $50,000

Expectations Documented ..... 3 ■ (5 pending)

Conclusions Documented ..... 0 ■ (all pending)

Highest Risk Variance ... Revenue — Consulting Services (+18.1% / $650,000)

Total Unexplained Variance $386,000

The automated flux analysis expectations documentation procedures documented in this workpaper were performed on the period-over-period flux analysis data provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Practitioner Expectations vs. Observed Variances

Expectation Documentation Status

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

Total Flagged Items:	8	
Documented (Complete):	3	■■■■■■■■■■ 37.5%
Pending Practitioner Input:	5	■■■■■■■■■■ 62.5%

■ **This workpaper is INCOMPLETE.** All flagged items require expectation documentation before the workpaper may be signed off.

Revenue — Consulting Services *(largest revenue line; total entity revenue = $6,850,000)* (Revenue)

Prior	$3,600,000.00
Current	$4,250,000.00
Variance	$650,000.00 (+18.1%)
Risk Level	HIGH
Indicators	material_change, exceeds_threshold

Practitioner Expectation:

Revenue was expected to increase approximately 10-15% based on the new enterprise client contracts signed in Q2 2025 and the expanded scope of the Apex Industries engagement.

Explanation of Variance:

The 18.1% increase exceeds initial expectations. Per discussion with management, the additional growth is attributable to two unplanned project extensions with Northwind Corp ($180K) and early recognition of the Phase 2 deliverables on the Titan project. Management has provided supporting contracts and milestone documentation.

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Marketing & Advertising (Expense)

Prior	$120,000.00
Current	$195,000.00
Variance	$75,000.00 (+62.5%)
Risk Level	HIGH
Indicators	material_change, percentage_outlier

Practitioner Expectation:

Marketing spend was expected to remain flat or increase modestly (5-10%) based on the approved FY2025 budget.

Explanation of Variance:

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The 62.5% increase is primarily driven by the Q3 brand repositioning campaign ($45K) and the October industry conference sponsorship ($22K). Both items were approved by the Board in July 2025 as an amendment to the original marketing budget. Supporting approvals have been obtained.

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Marketing & Advertising may represent a sub-account within Other Operating Expenses ($795,000). Auditor should confirm account hierarchy and verify the balance is not double-counted in the expense category analysis (see WP-ECA).

Cash and Cash Equivalents (Asset)

Prior	`$776,750.00`
Current	`$1,245,000.00`
Variance	`$468,250.00 (+60.3%)`
Risk Level	`MEDIUM`
Indicators	`material_change`

Practitioner Expectation:

Cash was expected to increase moderately due to improved operating cash flow from revenue growth, partially offset by debt repayments.

Explanation of Variance:

The 60.3% increase is consistent with strong operating cash flows ($1.3M) less capital expenditures ($470K) and debt service ($370K). The increase reconciles to the cash flow statement within $0 variance.

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Accounts Receivable (Asset)

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■ **PENDING — Practitioner documentation required**

Prior	`$520,000.00`
Current	`$680,000.00`
Variance	`$160,000.00 (+30.8%)`
Risk Level	`MEDIUM`
Indicators	`material_change`

Practitioner Expectation:

[PRACTITIONER TO COMPLETE: Document your expectation of the recorded amount prior to comparing to actual results, per ISA 520.5(a).]

Explanation of Variance:

[PRACTITIONER TO COMPLETE: Explain the variance and assess whether it is consistent with your expectation or requires further investigation.]

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Accrued Liabilities (Liability)

■ **PENDING — Practitioner documentation required**

Prior	`$180,000.00`
Current	`$255,000.00`
Variance	`$75,000.00 (+41.7%)`
Risk Level	`MEDIUM`
Indicators	`material_change`

Practitioner Expectation:

[PRACTITIONER TO COMPLETE: Document your expectation of the recorded amount prior to comparing to actual results, per ISA 520.5(a).]

Explanation of Variance:

[PRACTITIONER TO COMPLETE: Explain the variance and assess whether it is consistent with your expectation or requires further investigation.]

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

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[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Rent & Occupancy (Expense)

■ **PENDING — Practitioner documentation required**

Prior	`$240,000.00`
Current	`$295,000.00`
Variance	`$55,000.00 (+22.9%)`
Risk Level	`MEDIUM`
Indicators	`material_change`

Practitioner Expectation:

[PRACTITIONER TO COMPLETE: Document your expectation of the recorded amount prior to comparing to actual results, per ISA 520.5(a).]

Explanation of Variance:

[PRACTITIONER TO COMPLETE: Explain the variance and assess whether it is consistent with your expectation or requires further investigation.]

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Technology & Software (Expense)

■ **PENDING — Practitioner documentation required**

Prior	`$145,000.00`
Current	`$198,000.00`
Variance	`$53,000.00 (+36.6%)`
Risk Level	`MEDIUM`
Indicators	`material_change`

Practitioner Expectation:

[PRACTITIONER TO COMPLETE: Document your expectation of the recorded amount prior to comparing to actual results, per ISA 520.5(a).]

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Explanation of Variance:

[PRACTITIONER TO COMPLETE: Explain the variance and assess whether it is consistent with your expectation or requires further investigation.]

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Professional Development & Training (Expense)

■ **PENDING — Practitioner documentation required**

Prior	`$85,000.00`
Current	`$128,000.00`
Variance	`$43,000.00 (+50.6%)`
Risk Level	`MEDIUM`
Indicators	`percentage_outlier`

Practitioner Expectation:

[PRACTITIONER TO COMPLETE: Document your expectation of the recorded amount prior to comparing to actual results, per ISA 520.5(a).]

Explanation of Variance:

[PRACTITIONER TO COMPLETE: Explain the variance and assess whether it is consistent with your expectation or requires further investigation.]

Conclusion:

[ ] Variance explained — no further procedures required

[ ] Variance partially explained — additional procedures planned (describe below)

[ ] Variance unexplained — escalate to engagement partner

[ ] Inconclusive — awaiting management response

Notes: _____

Initials: _____ Date: ___/___/_____

■ **CONCLUSION PENDING**

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each

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flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

Authoritative References

Body	Reference	Topic	Status
AICPA	AU-C § 520	Analytical Procedures	Current
AICPA	AU-C § 330	Performing Audit Procedures in Response to Assessed Risks	Current
PCAOB	AS 2305	Substantive Analytical Procedures	Current

III. Formal Sign-Off

DRAFT — INCOMPLETE WORKPAPER

This workpaper cannot be finalized until all expectation and conclusion fields are completed.

Role	Name	Signature	Date
Prepared by	Sarah M. Chen, CPA		____/____/_____
Reviewed by	James R. Whitfield, CPA, CIA		____/____/_____
Partner	_____		____/____/_____

Paciolus Intelligence • Generated 23 Oct 2026 18:23 UTC • Meridian Capital Group, LLC • Period: FY 2024 vs. FY 2025

IV. Disclaimer

This memo documents automated Flux & Variance Intelligence testing procedures with reference to ISA 520 (Analytical Procedures) and ISA 330 (Auditor's Responses to Assessed Risks). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

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